

Message 1 of 13

[NEWSRELEASES-LIST] May 12, 2001 News Release

Sender	owner-newsreleases@energy.ca.gov
Recipients	['newsreleases@energy.ca.gov']
File	grigsby-m/all_documents/5.

For immediate release: May 12, 2001 Media Contact: Rob Schlichting * (916) 654-4989

ENERGY COMMISSION SCHEDULES HEARING, TOUR OF PROPOSED POWER PLANT SITE IN CHINO

Sacramento -- The California Energy Commission has scheduled a hearing and site tour for members of the public and other parties interested in learning about a 180-megawatt summer reliability generation facility proposed for construction this summer on the grounds of the California Institution for Men in Chino.

The Pegasus Project in San Bernardino County is being proposed by Pegasus Power Partners, LLC, part of Delta Power Company LLC. The simple cycle peaking facility would consist of four 45-megawatt natural gas-fired turbines equipped with state-of-the-art air pollution control features. Three of the four units would be producing power by September 30, 2001, with the fourth unit coming on-line by March 31, 2002. All four units are being considered under the Energy Commission's emergency process, which should take approximately 21 days to complete.

www.energy.ca.gov/sitingcases/peakers/chino/documents

A site tour and informational hearing was held on the project on Wednesday, May 16, 2001.

Site Visit Assemble at 5:30 p.m. Chino City Hall 13220 Central Avenue Chino, California Sacramento, CA (Bus transportation will be provided to proposed site.)

Informational Hearing Beginning at approximately 6:30 p.m., following the site visit. Chino City Hall 13220 Central Avenue Chino, California Sacramento, CA (Wheelchair Accessible)

Landowners, members of the general public and interested agencies are encouraged to participate in the site visit and the informational hearing on the licensing of the proposed Pegasus project.

Since this site visit will be conducted inside the California Institute for Men, waivers and special restrictions on dress may be required of those taking the tour. Please consult the Energy Commission's Public Advisor, Roberta Mendonca, no later than May 14, 2001, for details before signing up. Her office can be contacted by e-mail at . Her office can also assist interested individuals and organizations and provide information on participating in the Commission's emergency siting process. For information about proposed projects in Southern California, call (800) 273-4459.

Typically, peakers are simple-cycle power plants that can be constructed in a relatively small area and can be readily connected to existing transmission and natural-gas systems. For the Pegasus Project, these systems already exist nearby because of a 27-megawatt cogeneration power plant that operates at the California Institution for Men.

The Pegasus Project applied to the Energy Commission's emergency siting process to meet this summer's electricity needs. The goal of the emergency process is to license power plants that can be on-line by September 30, 2001, without sacrificing the public's health or safety or California's environment.

The Commission's Public Adviser, Roberta Mendonca, can assist interested individuals and organizations and provide information on participating in the Commission's emergency siting process. Persons may contact Ms. Mendonca by e-mail at . For information regarding proposed projects in Northern California, call (877) 602-4747. For information about projects proposed in Southern California, call (800) 273-4459.

Information about the proposed project is available on the Energy Commission's Web Site at:

www.energy.ca.gov/sitingcases/peakers

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Message 2 of 13

Weekly New Gen Report

Sender	james.bruce@enron.com
Recipients	['kysa.alport@enron.com', 'k..allen@enron.com', 'tom.alonso@enron.com']
File	grigsby-m/deleted_items/111.

Hello,

The first edition of the weekly new generation report is available at:

O:_Dropbox/West New Gen/Weekly/1_10_19_01.

This is the first edition of a new report that is designed to provide Enron employees with the latest media reports and market analysis on issues affecting new power plant construction in the WSCC. If you have any questions or comments about this new report, don't hesitate to bring them to my attention. Thanks and enjoy,

James Bruce Enron North America (503) 464-8122 West Power Desk (503) 860-8612 (c) 121 SW Salmon, 3WTC0306 (503) 464-3740 (fax) Portland, OR 97204 James.Bruce@Enron.com

Message 3 of 13

RE: West Gas Trading Rotation

Sender	mike.grigsby@enron.com
Recipients	['Shelly', 'zachary.mccarroll@enron.com', 'Friesenhahn']
File	grigsby-m/sent_items/357.

3209b - my desk.

-----Original Message-----

From: McCarroll, Zachary Sent: Tuesday, November 06, 2001 8:44 AM To: Grigsby, Mike Subject: RE: West Gas Trading Rotation

I'll stop by at 10:30am. Where on floor 32 would you like for me to meet you?

Zac McCarroll

-----Original Message-----

From: Grigsby, Mike Sent: Monday, November 05, 2001 8:51 PM To: McCarroll, Zachary Subject: RE: West Gas Trading Rotation

Please come by the west gas trading desk on 32 when you get a chance tomorrow. How is 10:30 am? My phone number is 37031.

Mike Grigsby VP West Trading

-----Original Message-----

From: McCarroll, Zachary Sent: Mon 11/5/2001 1:45 PM To: Grigsby, Mike Cc: Friesenhahn, Shelly Subject: West Gas Trading Rotation

Mike,

I spoke with Andrea and Shelly from the A/A office and they informed me that there are currently positions available within West Gas Trading. I am interested in the opportunity and would like to speak with you. Please inform me on the current opportunities available and how you would like to proceed with this process in subsequent discussions. You can contact me at x-57122.

I have attached a resume for your reference.

Thank you and I look forward to speaking with you.

Zac McCarroll Senior Analyst w: 713-345-7122 c: 713-859-8021

<<Resume 10-15-01.doc>>

Message 4 of 13

RE: West Gas Trading Rotation

Sender	mike.grigsby@enron.com
Recipients	['keith.holst@enron.com', 'zachary.mccarroll@enron.com']
File	grigsby-m/sent_items/358.

You and Keith should try and get together this afternoon for thirty minutes. Let me know.

Mike

-----Original Message-----

From: McCarroll, Zachary Sent: Monday, November 05, 2001 1:45 PM To: Grigsby, Mike Cc: Friesenhahn, Shelly Subject: West Gas Trading Rotation

Mike,

I spoke with Andrea and Shelly from the A/A office and they informed me that there are currently positions available within West Gas Trading. I am interested in the opportunity and would like to speak with you. Please inform me on the current opportunities available and how you would like to proceed with this process in subsequent discussions. You can contact me at x-57122.

I have attached a resume for your reference.

Thank you and I look forward to speaking with you.

Zac McCarroll Senior Analyst w: 713-345-7122 c: 713-859-8021

<< File: Resume 10-15-01.doc >>

Message 5 of 13

RE: Just checking in?

Sender	mike.grigsby@enron.com
Recipients	['trey@hillcast.com']
File	grigsby-m/sent_items/210.

Thank you for the email. We are doing as well as we can after the Chris Simms debacle. What a hack! The ENE story is a good one. Hunter and I will have you market the book, and your boy, Tate, will be the ghost writer.

We will see you soon.

Grigsby

-----Original Message-----

From: Trey Ikard [mailto:trey@hillcast.com] Sent: Monday, December 03, 2001 8:31 PM To: Grigsby, Mike Subject: Just checking in?

Mike,

Just checking in? Are you and Hunter doing ok? Sorry to hear about ENE? I emailed Hunter, but he has not got back to me yet. Hope it all works out for you two guys. I know you two will land on your feet. Good luck.

Trey

Trey Ikard HillCast Technologies, Inc. 906 East 5th St., Suite 210 Austin, Texas 78702 USA p| 512.474.4644 f | 512.458.3052 trey@hillcast.com <mailto:trey@hillcast.com> www.hillcast.com <http://www.hillcast.com/>

Message 6 of 13

Chris Bell for Mayor

Sender	delia@prescottlegal.com
Recipients	['delia@prescottlegal.com']
File	grigsby-m/deleted_items/7.

If you are still contemplating your choice for Mayor, please read the following endorsement for Chris Bell, candidate for Mayor and a personal friend. Chris possesses the intelligence, leadership, and integrity to represent Houston. I encourage you to vote for Chris on election day.

Please forward to your friends, neighbors, family, and co-workers.

http://www.zwire.com/site/news.cfm?newsid=2543733&BRD=1575&PAG=461&dept_id=183552&rft=6 Endorsement of the Kingwood Observer:

MAYOR - Chris Bell

The mayoral race has been a tough one to call. We have wrestled with this difficult decision. During interviews and forums, how do we really know who will be the best leader? The three who came to meet with us would probably all make a good mayor. For the most part, they agree on the problems which make up the challenges of the future: air pollution, ground to surface water conversion, potholes, traffic, equal division of tax dollars, mass transit, emergency services. They all care about the city.

But how to choose, without the influence of political affiliation? Past behavior and character. On that basis, Chris Bell is the best candidate.

The Observer has endorsed Bell before, when he was running for council. He is probably the most intelligent of the three major contenders. He has a quick wit and readily quips that he has held the three least regarded professions : journalist, lawyer and politician.

Most importantly, he does not make promises he cannot or will not keep. He has never lied to the Kingwood voter. He did not vote for annexation - he was not on council during that acrimonious time.

He supports a tax rebate at the end of the fiscal year, he has a well-thought out traffic management plan and a three-point plan for improving the Houston Fire Department resources. He supports a vote on any expansion to Metro's light rail system, although he wisely does not support stopping the seven-mile project that is already begun. His focus is the taxpayer as the customer, and the customer drives the services.

He sees the big picture and has the intelligence to lead wisely. He is not favored by either political party, a good thing in our opinion, and points out that in this time of national crisis, leaders who can bring diverse needs and people together will be the best leader.

Bell's major opponent did vote for annexation. He misled Kingwood citizens, for nearly 18 months, by saying he had not decided on his annexation vote. In his Observer interview, he admitted that he traded his yes vote on annexation to then-mayor Bob Lanier in exchange for his "promise" to provide equal services before he was ever elected!

This is fishy reasoning. First, equal services are guaranteed by state law, not by mayoral promises. Second, the promise was more likely support for his council bid.

He sold us out before we ever knew his name and then mislead us again and again. Dishonesty is a character flaw, not a behavior.

Elect Chris Bell mayor. He is the breath of fresh air City Hall needs.

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Delia W. Johnson Prescott Legal Search 3900 Essex Lane, Suite 1110 Houston, Texas 77027 www.prescottlegal.com
delia@prescottlegal.com 713-439-0911

Message 7 of 13

NTSB Reviews Most Wanted Safety Recommendations, Updates for 2001

Sender	ntsbpressreleases@ntsb.gov
Recipients	[]
File	grigsby-m/notes_inbox/78.

NTSB Advisory National Transportation Safety Board

Washington, DC 20594

May 10, 2001

NTSB REVIEWS MOST WANTED SAFETY RECOMMENDATIONS, UPDATES FOR 2001

Washington, D.C. -- The National Transportation Safety Board holds a public Board meeting Tuesday, May 15 at 9:30 a.m., at its Board Room and Conference Center, 426 L'Enfant Plaza, S.W., Washington, D.C. The item on the agenda: The Board will review activity related to the 11 items on last year's Most Wanted Safety Recommendations list and issue an updated list for 2001. The Safety Board established the Most Wanted Safety Recommendations Program in 1990. The recommendations placed on this list are selected by the Board as issues for intensified follow-up and to heighten public awareness of these safety concerns. Press Officer: Terry Williams Directions to Board Room: Front door located on Lower 10th Street, directly below L'Enfant Plaza. From Metro, exit L'Enfant Plaza station at 9th and D Streets escalator, walk through shopping mall, at CVS store take escalator down one level. Board room will be to your left.

Media Contact: (202) 314-6100

***** This message is delivered to you as a free service from the National Transportation Safety Board; you may unsubscribe at any time at <http://www.nts.gov/registration/registration.asp> An archive of press releases is available at <http://www.nts.gov/pressrel/pressrel.htm>

Current job opportunities with the NTSB are listed at <http://www.nts.gov/vacancies/listing.htm>

For questions/problems, contact pubinq@nts.gov

Message 8 of 13

Meeting with Enron Networks

Sender	mike.grigsby@enron.com
Recipients	['greg.hermans@enron.com']
File	grigsby-m/discussion_threads/32.

Greg,

I wanted to forward this letter to you that I received from a good friend of mine who is interested in discussing global steel trading oppotunities with Enron. If you don't mind, I would like to have Chase Belew call you to possibly set up a meeting.

I work on the west gas trading desk. You can reach me at x37031. Thank you for your assistance.

Sincerely, Mike Grigsby

----- Forwarded by Mike Grigsby/HOU/ECT on 09/08/2000 12:17

PM -----

Chase Belew <cbelew@e-steel.com> on 09/05/2000 04:01:46 PM To: "mike.grigsby@enron.com"
<mike.grigsby@enron.com> cc: Subject: Meeting with Enron Networks

Mike,

As per our conversation, I would appreciate your help to arrange a short meeting with executives from Enron Networks and a group from our company.

e-STEEL (www.e-steel.com) has become the preferred marketplace as well as the recognized technological and collaborative commerce leader for the \$800billion global steel market. We have financial backing from Goldman Sachs and Kleiner Perkins and have alliance contracts with companies throughout the steel supply chain, including U.S. Steel and Ford Motor Company . Because we consider Enron another leader in the development of electronic marketplaces, we feel that there may be areas for mutual cooperation. The purpose of our meeting is strictly exploratory.

Our group will consist of myself and Mr. Russ Carleson (Vice President, Sales) from our headquarters in New York. We would like to propose a lunch meeting next Thursday, September 14th, if possible. I will call you this week to follow up.

Thanks,

Chase Belew Account Manager e-STEEL Corporation 440 Louisiana, Suite 440 Houston, TX 77002 (713) 236-7701
cbelew@e-steel.com

Message 9 of 13

Meeting with Enron Networks	
Sender	mike.grigsby@enron.com
Recipients	['bruce.garner@enron.com']
File	grigsby-m/discussion_threads/29.

Bruce,

I work with Phillip Allen in West Gas Trading and he talked to Greg Piper about the letter attached below, and Greg told us to forward it to you. Mr. Chase Belew and Mr. Carleson, with E*Steel, would like to meet with you to discuss market opportunities in the global steel market. I would like to have Mr. Belew call you to set up a time to meet with you. Would this be a problem? Please call me to discuss.

Sincerely, Mike Grigsby x37031 ----- Forwarded by Mike Grigsby/HOU/ECT on 09/05/2000 05:01 PM

Chase Belew <cbelew@e-steel.com> on 09/05/2000 04:01:46 PM To: "mike.grigsby@enron.com"
<mike.grigsby@enron.com> cc: Subject: Meeting with Enron Networks

Mike,

As per our conversation, I would appreciate your help to arrange a short meeting with executives from Enron Networks and a group from our company.

e-STEEL (www.e-steel.com) has become the preferred marketplace as well as the recognized technological and collaborative commerce leader for the \$800billion global steel market. We have financial backing from Goldman Sachs

and Kleiner Perkins and have alliance contracts with companies throughout the steel supply chain, including U.S. Steel and Ford Motor Company . Because we consider Enron another leader in the development of electronic marketplaces, we feel that there may be areas for mutual cooperation. The purpose of our meeting is strictly exploratory.

Our group will consist of myself and Mr. Russ Carleson (Vice President, Sales) from our headquarters in New York. We would like to propose a lunch meeting next Thursday, September 14th, if possible. I will call you this week to follow up.

Thanks,

Chase Belew Account Manager e-STEEL Corporation 440 Louisiana, Suite 440 Houston, TX 77002 (713) 236-7701
cbelew@e-steel.com

Message 10 of 13

FW: James Hemmerly Resume West Gas Trader

Sender	mike.grigsby@enron.com
Recipients	['ina.rangel@enron.com']
File	grigsby-m/sent_items/119.

Ina,

Will you please have an HR rep handle communications with Jim Hemmerly and his executive search firm, Michael Hubley (number listed below). Don Black and I are interested in talking with him further and would like to communicate through HR. Please let me know when they have been contacted.

Thanks, Mike

-----Original Message-----

From: Grigsby, Mike Sent: Friday, September 21, 2001 1:31 PM To: Rangel, Ina Subject: RE: James Hemmerly Resume West Gas Trader

Will you schedule him for an hour each with Phillip and I and 30 minutes with the other guys. Thanks. -----Original Message----- From: Rangel, Ina Sent: Tuesday, September 18, 2001 11:13 AM To: Grigsby, Mike Subject: RE: James Hemmerly Resume West Gas Trader

he can come in 10/1 or 10/2. Is this okay with you. He said this week is crazy and next week is bidweek.

-Ina -----Original Message----- From: Grigsby, Mike Sent: Monday, September 17, 2001 4:47 PM To: Rangel, Ina; Slone, Jeanie Subject: FW: James Hemmerly Resume West Gas Trader

Please set up a time for this candidate to visit enron and interview with the desk heads.

Thanks, Mike

-----Original Message-----

From: Michael Hubley [mailto:mhubley@execsearchusa.com] Sent: Friday, September 07, 2001 1:10 PM To: Grigsby, Mike Subject: James Hemmerly Resume West Gas Trader

JAMES HEMMERLY

Michael Hubley Vice President Executive Search Associates 140 Newbury St Boston, MA 02116 617-375-6060 ext. 204
mhubley@execsearchusa.com

EDUCATION Colorado School of Mines May, 1988 Bachelor of Science, Petroleum Engineering

PROFESSIONAL EXPERIENCE

Southern California Gas Company, Los Angeles, CA Aug. 1990 to Present

Natural Gas Commodity Trader, Core Gas Acquisition (6/97 to Present) ? Procure core market natural gas supply with reliability and low cost objectives. ? Design and direct swing market position to maximize Gas Cost Incentive Mechanism (GCIM) performance incentive. ? Research and report market indicators for market direction forecasting. ? Evaluate after market trading activity for GCIM appraisal.

California Energy Hub Supply Advisor, Core Gas Acquisition (12/95 to 6/97) ? Track CEH customer account balance. ? Negotiated CEH transactions to optimize core asset utilization. ? Responsible for CEH billing and collections accounts. ? Promoted and supported development of QuickTrade, southwest marketing effort.

Design Engineer, Design and Construction (1/94 - 12/95) ? Project Manager for fleet services gasoline tank removal and replacement program. ? Performed cost \ benefit analysis for new construction feasibility determination. ? Performed feasibility study leading to optimization of Pacific Region distribution system resources.

Senior Drilling Engineer, Storage Engineering (8/90 - 01/94) ? Designed and drilled first horizontal storage well for Southern California Gas Company increasing deliverability and performance for uneconomical reservoir section in Aliso Canyon Storage Field from zero to 35,000 Mcf / day. ? Reduced drilling time by 35% and drilling cost by 15% for Aliso Canyon Storage Expansion Project. ? Developed leadership and teambuilding incentive program essential to achieving Aliso Canyon Storage Expansion Project deadlines and budget projections. ? Designed and supervised numerous storage and observation well workovers and new well drilling projects utilizing best available technology in areas of cementing, directional well control and well logging and evaluation services.

References Available upon Request.

Message 11 of 13

RE: Texaco

Sender	patti.sullivan@enron.com
Recipients	['mike.grigsby@enron.com']
File	grigsby-m/deleted_items/89.

Mike,

The details of the deals that were cut are as follows: Deal # 737666(Baseload Purchase at Socal Topock); Daily deal volume 10000 priced at Socal Index + .35 - Cut to 0 May 27th-29th for a total cut volume of 30000 Deal # 742664(Baseload Purchase at Socal Topock); Daily deal volume 20000 priced at Socal Index + .36 - Cut to 0 May 27th-29th for a total cut volume of 60000 Deal # 743085(Baseload Purchase at Socal Topock); Daily deal volume 10000 priced at Socal Index + .33 - Cut to 0 May 27th-29th for a total cut volume of 30000

Let me know if you want me to forward this information to Jeff Hodge.

Patti

-----Original Message-----

From: Grigsby, Mike Sent: Tuesday, October 23, 2001 2:49 PM To: Sullivan, Patti Subject: FW: Texaco

Please contact Jeff Hodge with the details of the cuts. He needs the details to make the best case for Enron. Please email your response to me before talking to Jeff.

Thanks, Mike -----Original Message----- From: Hodge, Jeffrey T. Sent: Tuesday, October 23, 2001 9:04 AM To: Grigsby, Mike Subject: RE: Texaco

Mike:

It seems to me that we can proceed one of 2 ways. Those alternatives are as follows:

1. We could write a letter to Texaco and demand payment for the withheld amount.

2. If we are paying them this month, we could withhold the \$1.5 million from the amount we are paying them. Of course, we would need to provide them some sort of explanation.

My preference at this time would be to do the first item. If you could have someone provide me with the details of the transaction they withheld the money on I could draft the letter. If that letter brought no response, then we could consider taking the action outlined in the second item.

I trust all is well with you. I look forward to hearing from you.

Thanks,

Jeff

-----Original Message-----

From: Grigsby, Mike Sent: Monday, October 22, 2001 5:00 PM To: Hodge, Jeffrey T. Subject: Texaco

Jeff,

How should proceed with Texaco and their 1.5 million withholding?

Thanks, Mike

Message 12 of 13

RE: Questar Pipeline's Southwest Wyoming Storage Project Open

Sender	paul.bieniawski@enron.com
Recipients	['barry.tycholiz@enron.com', '40enron@enron.com', 'mike.grigsby@enron.com']
File	grigsby-m/all_documents/173.

Mark,

We have been aware of this project for some time and have watched it with interest.

Questar just (within the last month) bought the development rights fully from Beta Energy. They have drilled one salt test well and have extensively tested the salt. They HAVE NOT tested the disposal zones as yet and that is a critical component.

They are planning on developing four caverns for a total of 14 Bcf working gas. First caverns should be available in about 2 years. At that time they will abandon the three small reservoirs on their system and replace the deliverability and services with the Yellow Creek Facility.

We have initiated conversations with them regarding providing base gas as well as horsepower.

-----Original Message-----

From: Whitt, Mark On Behalf Of Mark Whitt/DEN/ECT@ENRON Sent: Tuesday, May 01, 2001 2:01 PM To: Tycholiz, Barry; Grigsby, Mike; Bieniawski, Paul; Rainer, Eva; South, Steven P.; Reitmeyer, Jay; Ermis, Frank; Lucci, Paul; Fuller, Dave; Miller, Stephanie Subject: Questar Pipeline's Southwest Wyoming Storage Project Open Season

FYI ----- Forwarded by Mark Whitt/NA/Enron on 05/01/2001 12:58 PM -----

"Brent Kitchen" <BrentK@questar.com> 04/30/2001 05:10 PM To: undisclosed-recipients;; cc: Subject: Questar Pipeline's Southwest Wyoming Storage Project Open Season

Questar Pipeline Company is holding an open season to determine the feasibility of constructing a salt cavern storage facility near Evanston, Wyoming to provide firm natural gas storage service. This facility will provide multiple cycle, high deliverability storage service that will be connected to several interstate pipelines.

All interested parties are invited to submit requests during the open season, which will begin on Wednesday, May 2, 2001 and close on Friday, June 1, 2001. Depending on customer interest and the scope of the project, the firm storage is

anticipated to be in service by June 1, 2004.

A description of the open season, including application requirements, is attached to this message in Microsoft Word format. The Precedent Agreement form is also attached as an Adobe Acrobat PDF file. The Precedent Agreement must be completed and e-mailed or faxed to Questar Pipeline by 5 p.m. on Friday, June 1, 2001. Questar Pipeline's fax number is (801) 324-2980. Precedent Agreements for the storage service should be faxed to Attention: Tom Myrberg.

If you are unable to open the PDF file containing the Precedent Agreement and would like us to fax you a copy, please call Derby Flygare at 801-324-2041 or Mary Kay Olson at 801-324-5873.

Additional information about the open season can be obtained online at <http://www.questarpipeline.com/html/marketing.html> or by calling Tom Myrberg at 801-324-2978, Mary Kay Olson at 801-324-5873, or Shelley Wright at 801-324-2509.

Click here to download the free Adobe Acrobat Reader: <http://www.adobe.com/products/acrobat/readstep.html>

- SWWSTORA2_1.doc << File: SWWSTORA2_1.doc >> - SaltCavern_1.pdf << File: SaltCavern_1.pdf >>

Message 13 of 13

FW: APEA Gas Prepay Transaction

Sender	mike.grigsby@enron.com
Recipients	['dale.rasmussen@enron.com']
File	grigsby-m/sent_items/226.

Patti Sullivan and Suzanne Christiansen informed me that all west deliveries have been kept whole. Please contact them directly if you require detail on a daily basis. They will be happy to assist you. If you have any problems, please do not hesitate to call me at 713-853-7031.

Sincerely, Mike Grigsby

-----Original Message-----

From: Sullivan, Patti Sent: Friday, December 07, 2001 9:06 AM To: Grigsby, Mike Subject: RE: APEA Gas Prepay Transaction

Mike,

We have a deal for the City of Pasadena at Socal for a volume of 3000 a day and to SMUD at Malin for a volume of 15,000 a day. At Socal, they sold gas back to us and we are netting it against that deal. At Malin, through the 6th, the gas has been flowing 100%, but today there is a small cut and Suzanne is checking into it. Those are the only 2 west desk deals.

Thanks, Patti

-----Original Message-----

From: Grigsby, Mike Sent: Friday, December 07, 2001 8:29 AM To: Sullivan, Patti; Christiansen, Suzanne Subject: FW: APEA Gas Prepay Transaction

Are we making deliveries to this contract? Please put together a cuts sheet for this deal.

Thanks, Mike -----Original Message----- From: Rasmussen, Dale Sent: Thursday, December 06, 2001 5:40 PM To: Grigsby, Mike; Sullivan, Patti Cc: Hodge, Jeffrey T.; Mcdonald, Michael; Tweed, Sheila; Shackleton, Sara; Bushman, Teresa G.; Calger, Christopher F. Subject: APEA Gas Prepay Transaction

I have gotten a call from Roger Mock, CEO of American Public Energy Agency, regarding a series of transactions.

In 1999 we (ENA through Enron Natural Gas Marketing Corp.) entered into a 12-year prepay. We got approximately \$297MM in cash up front, with delivery obligations at various delivery points, including NNG-Demarc, Rockies, TW-SJ, NIT, Topock and Sumas over the life of the deal.

Currently the end users are Clark Public Utility District (Washington State), City of Glendale (California), City of Pasadena Water and Power Department (California), and Sacramento Municipal Utility District (California).

It is my understanding that ENGMC is not currently in bankruptcy.

I am sending down to Mike's attention a CD with the project documents on it. I apologize in advance for the absence of a table of contents, but I felt lucky just to get the information. Teresa Bushman may have a hard copy of the documents.

Roger Mock said that on Saturday he received a call from Kevin Brady notifying APEA that deliveries on Northern were being cut. The documentation allows for some delivery point flexibility, should alternative delivery points be better for us at this time. The other parties to the APEA deal are anxious to work out alternatives, if possible.

Roger can be reached at (800) 476-3749.

Please let me know if I can be of help.

Thanks.

Dale Rasmussen Tel: (503) 464-8863 Fax: (503) 464-8058
